

MB 303: Financial Accounting

Course Code: MB 303

Course Name: Financial Accounting

L-T-P-C: 3-0-0-3

Prerequisites: NA

Intended for: IMBA

Mutual Exclusion: NA

Approval: 59th BoA (I-MBA curriculum); course proposal approved in the 60th BoA

Preamble

Financial accounting course helps the students in understanding and analysis of balance sheet, profit and loss statement, and cash flows statement for better managerial decision making. The course deals with making financial statements, measurement of a few major line items of financial statements and using such financial statements for decision making from managerial perspective.

Course Modules

- **Line items of financial statements:** This module helps the participants in understanding the line items of balance sheet, profit and loss statement and three major categories of cash flows statement of a non-finance company. (4 hours)
- **Accounting Principles:** This module enables the participants to understand major accounting principles like double entry principle, accrual accounting principle, money measurement principle, business entity principle, going concern principle, matching principle and conservatism principle. (2 hours)
- **Transactional Analysis to make financial statements:** Making balance sheet and profit and loss statement using transactional analysis (equation approach). (3 hours)
- **Accounting Records:** This module enables students in understanding preparation of major accounting records like journal book, ledger books and trial balance with/without adjustments. At the end of this module, students should get conversant with the accounting cycle and records. (5 hours)
- **Cash Flows Statement:** This module makes students to understand structure, importance, classification of cash flows and construction of cash flows statement. At the end of this module, students should be able to understand cash flows from operating, investing, and financing activities. (5 hours)
- **Measurement and analysis of Depreciation, Cost of Goods Sold (COGS) and Inventory:** This module enables students to understand different methods of depreciation and inventory valuation. Students should also understand implications of these methods of measurement on statement of profit and loss and balance sheet. (4 hours)
- **Measurement of non-current assets and liabilities:** This module makes students to understand expensing versus capitalizing and measurement of contingent liabilities. (4 hours)
- **Techniques of Financial Statements Analysis:** This module makes students to understand application of common-size analysis, comparative analysis, and ratio analysis in analysis of balance sheet, statement of profit and loss and statement of cash flows. The financial statements analysis should be from credit analysis, investment analysis and forensic perspective. While analysing financial statements, students

should be made to understand implications of major accounting policies related to measurement of assets, revenues and expenses in financial statements analysis. (8 hours)

Laboratory/Practical/Tutorial Modules

NA

Text Books

1. Anthony, Robert Newton, David F. Hawkins, and Kenneth A. Merchant. *Accounting, text and cases*. McGraw-Hill/Irwin, 1999.
2. Subramanyam K R. *Financial Statement Analysis*, McGraw Hill, 2021.

References

1. Maher, Michael W., Clyde P. Stickney, and Roman L. Weil. *Managerial accounting: An introduction to concepts, methods and uses*. Rob Dewey, 2006.
2. White, Gerald I., Ashwinpaul C. Sondhi, and Dov Fried. *The analysis and use of financial statements*. John Wiley & Sons, 2002.
3. Penman, Stephen H., and Stephen H. Penman. *Financial statement analysis and security valuation*. New York: McGraw-Hill/Irwin, 2010.
4. Graham, Benjamin and David Le Fevre Dodd (6th Edition). *Security analysis*, McGraw-Hill, 1934.